IPA
AN FORAS RIARACHÁIN
INSTITUTE OF PUBLIC
ADMINISTRATION

Certificate in Local Government Studies
(Accredited by NUI)

LESSON 1
Rationale, Purpose, Governance and Development of Local Government

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Institute of Public Administration

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LEARNING OBJECTIVES:

By the end of this lesson you should:

- Understand the rationale for having a local government system and where local government fits into the overall framework of government.
- Appreciate the principle governance elements of local government, including transparency, accountability and stakeholder engagement.
- Identify the shortcomings and limitations of the local government system in Ireland.
- Be familiar with the basic elements of the local government system.

1.0 INTRODUCTION

The local government system in Ireland has experienced significant reform in recent years. While that reform has impacted on the structure, functions, resources and organisation of the local government system, the basic purpose of local government has not changed. The key purpose of local government is to promote the well-being and quality of life of citizens and communities, through effective, accountable representation, and efficient performance of functions and delivery of services.

The following vision statement for local government is articulated in the reform policy document *Putting People First – Action Programme for Effective Local Government* (2012, p. 1):

> "Local government will be the main vehicle of governance and public service at local level – leading economic, social and community development, delivering efficient and good value services, and representing citizens and local communities effectively and accountably."

The vision identifies local government as performing a number of different roles. Successful performance of this multifaceted role requires a range of qualities, including responsiveness, leadership, innovation, commitment to efficiency and value for money, while simultaneously supporting national objectives and complying with international obligations.

During the course of your studies you will identify where those qualities exist in the local government system and how local authorities operate to achieve the overall vision for local government. You will learn about the functions, duties and resources of county and city councils, and you will consider the impact of the significant local government reform programme which has been implemented in recent years.

While studying local government you should try to reflect on how the functions and delivery mechanisms of local authorities as organisations operate within the economic, social, cultural and environmental conditions which prevail. You should also remember that local authorities are political institutions and that the policies pursued should reflect the needs and legitimate expectations of citizens.

Finally, you should appreciate that many issues related to local government were addressed in an ad-hoc manner over the centuries and you should not be unduly critical with the benefit of hindsight.

The real test for our generation is how citizens of the future will view the provision and implementation of our current public services and how we shaped the local government system of today to meet the needs of tomorrow

The one constant over centuries of turmoil and change has been the beneficial influence of local government activity and the dedication shown by elected members and staff, with both acting in the interests of the people being served. It is against this broad framework that the topics and issues raised in your studies should be evaluated.

You should familiarise yourself with the contents of Appendix 1 to understand terms which are used throughout the course.

This first lesson will outline the role of local government in a national and international context, the rationale for local government, and some governance characteristics within the local government system. Landmarks in the development of the Irish local government and some shortcomings in the system will also be identified and considered.

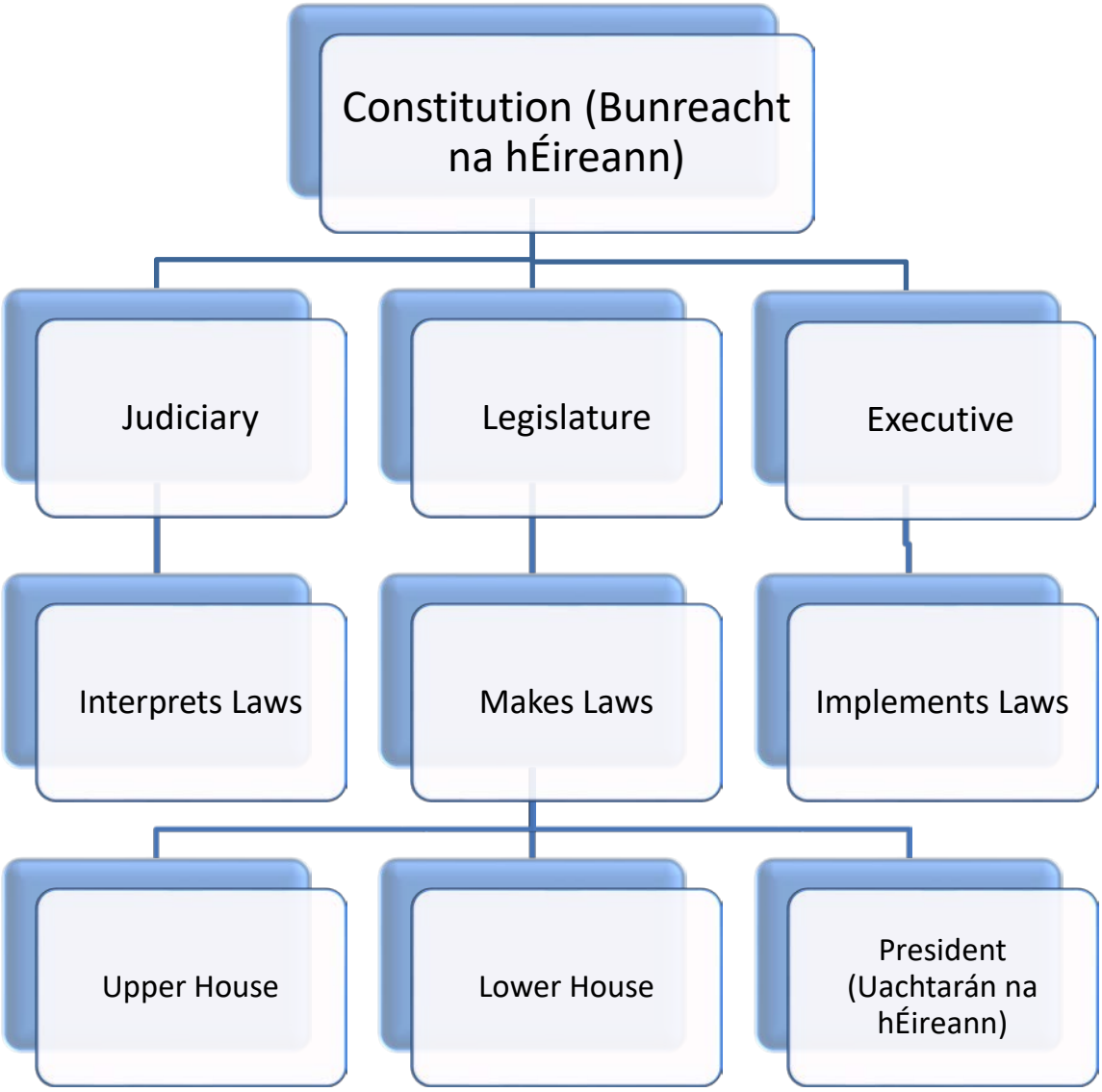
1.1 THE FRAMEWORK OF GOVERNMENT IN IRELAND

Government must act in the interests of the common good and there is an inherent requirement at societal level that governments act with due regard to the benefit of all people in society regardless of whether the government is acting at a global, international, national or local level.

Local government is, by definition, 'local', but that does not allow local authorities to operate as independent republics. Irish local government operates within the wider framework of national and international government.

1.1.1 National Government

The framework national of government in Ireland can be summarised as follows:



THE CONSTITUTION

The Constitution
(Bunreacht na hÉireann)

Constitution - Bunreacht na hÉireann (meaning 'Basic Law of Ireland') is the Irish Constitution. It is the fundamental legal document that sets out how Ireland should be governed and the rights of Irish citizens.

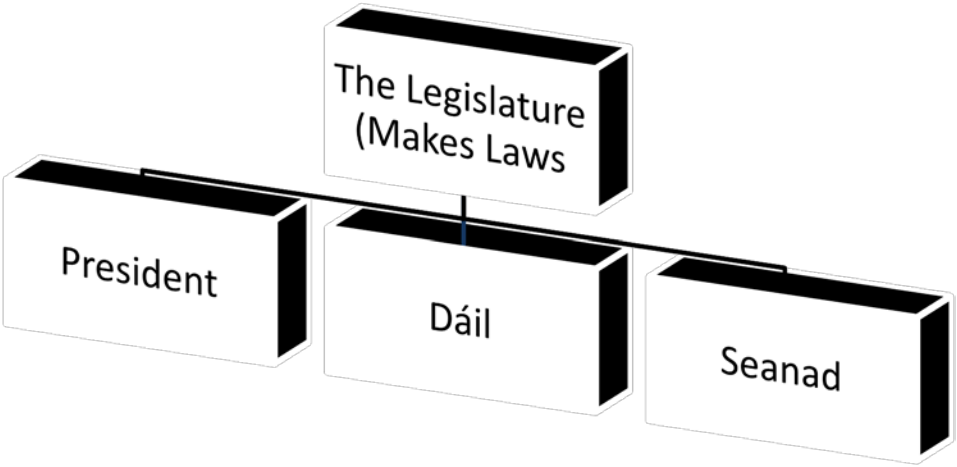
The Irish Constitution establishes and describes the main institutions of the Irish state.

THE JUDICIARY

THE JUDICIARY (Interprets Laws)

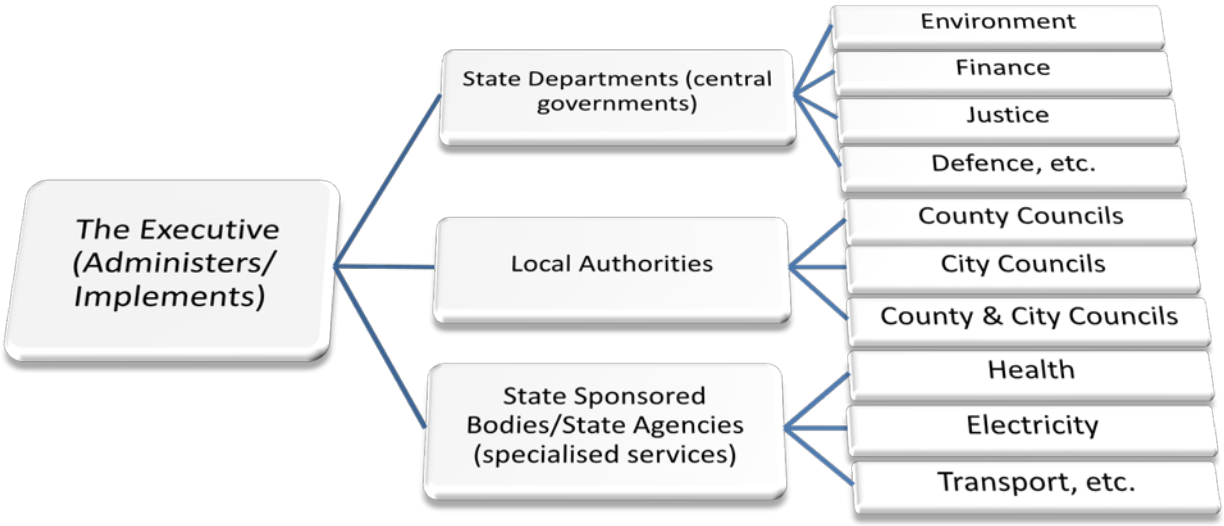
The ***judicial power*** is the power to interpret and apply the law to disputes and conflicts that arise between the state and the individual and disputes and conflicts that arise between individuals. Articles 34 to 37 of the Constitution give this power to the Courts.

THE LEGISLATURE



Legislative power is the power to make laws, i.e. to introduce, remove or change legislation. Articles 15 to 27 of the Constitution give this power to the National Parliament or the Oireachtas. The Oireachtas consists of the Dáil, the Seanad and the President.

THE EXECUTIVE



1.1.2 The Constitution and Local Government

The 1937 Constitution, as amended, prescribes how Ireland should be governed. Article 28A of the Constitution makes provision for the local government system in Ireland.

Text of Article 28A of Constitution

- "The State recognises the role of local government in providing a forum for the democratic representation of local communities, in exercising and performing at local level powers and functions conferred by law and in promoting by its initiatives the interests of such communities.
- There shall be such directly elected local authorities as may be determined by law and their powers and functions shall, subject to the provisions of this Constitution, be so determined and shall be exercised and performed in accordance with law.
- Elections for members of such local authorities shall be held in accordance with law not later than the end of the fifth year after the year in which they were last held.
- Every citizen who has the right to vote at an election for members of Dáil Éireann and such other persons as may be determined by law shall have the right to vote at an election for members of such of the local authorities referred to in section 2 of this Article, as shall be determined by law.
- Casual vacancies in the membership of local authorities referred to in section 2 of this Article shall be filled in accordance with law."

1.1.3 Central Government and Local Government

The Government makes up the head of the Executive, consisting of up to 15 members of the Cabinet. The Taoiseach is appointed by the President upon the nomination of the Dáil. The Taoiseach also nominates Ministers for approval by the Dáil, who are then formally appointed by the President. Each Minister will usually be responsible for one or more Government Department.

One of those departments is the Department of Housing (previously known as the Department of the Environment). Since 2016, policy responsibility for local government lies with the Department of Housing (before 2016 it lied with the Department of the Environment). In fact the full title of this Department has varied over the years, but in shorthand it is often referred to as the Department of Housing (and before 2016 the Department of Environment), headed by a Minister for Housing (or in the past the Minister for the Environment). Traditionally, interaction between central and local levels of government in Ireland tended to focus on contact between the Department of Housing and local authorities, and although this is still the case, in recent years local authorities have also begun to work closely with other government departments on a variety of issues. Examples of other departments with whom local authorities work include Environment, Transport, Tourism, Enterprise, Sport, Defence, Arts, Heritage, the Gaeltacht, and so on.

It will become evident to students during this course that interaction between central government and local government impinges on the way local authorities exercise their

functions. Local authorities depend on central government for elements of their financial resources and are also subject to elements of central control.

Local authorities also have regular contacts with a number of the state-sponsored bodies, which operate under a policy framework established by Government, usually with a specific function. An example would be the Industrial Development Agency (IDA), whose function is to promote economic development and job creation by encouraging international companies to invest in Ireland.

Local authorities assist in the formulation and implementation of national policy, directly and indirectly, through the services they provide, through the formulation of local policy within the framework of national policy and through their input into the formulation of national policy by way of submissions, representations, contact with various government departments (both formal and informal), participation on working groups and through the County and City Manager's Association (CCMA) and the committees of the Association.

1.1.4 The European Union and Local Government

Since Ireland joined the European Economic Community (now European Union) in 1973, its impact on local authorities has, over time, been far-reaching. Examples of such impacts include:

i) EU Funding

During the late 1980s and throughout the 1990s, the EU made a major contribution to local authority expenditure in areas such as roads, water services, community and recreational infrastructure, and urban and village renewal. The EU also financed a number of exchange of experience programmes. As Ireland became a wealthier country, and as the membership of the EU expanded to include less-developed economies, less and less EU financing was available for large-scale infrastructure projects, although local authorities continue to receive modest levels of EU funding in specific areas.

ii) EU Policy and Legislation

The bulk of the legislation applying to local authority areas such as climate change, waste management and water pollution derive from EU Directives. EU policy in relation to issues such as the polluter pays principle or recycling targets also have to be taken into account. Given that national legislation is adopted to give effect to such policies and directives, sometimes the EU involvement is not immediately apparent. In fact, there is very little Irish legislation in areas such as waste management and water that is not ultimately derived from EU legislation. Here local authorities play a role as implementers of legislation.

As you will discover in various sections of the course, implementing such legislation involves significant financial implications for local authorities. Other types of EU legislation (such as the Environmental Impact Assessment Directive or the Public Procurement Directives) involve significant administrative implications for local authorities in areas such as spatial planning or tendering for contracts.

iii) EU's Impact on the Local Economy

Local authorities are increasingly engaging in a role as 'facilitators' for local development of their area. The EU's single market impacts on this by creating opportunities for local exporters, and by making the local area attractive for inward investment – as well as generating extra competition for local firms. The EU's Common Agricultural Policy (CAP) affects rural economies, and impacts on the number of people living in rural areas, towns and cities. The EU also regulates state aids, and how much money the government can spend to favour a specific region or locality.

iv) EU's Impact on Sub-National Government in Ireland

The EU has affected the local authority's role as a local institution in two main ways.

Firstly, EU financing was made available during the 1990s to a number of 'local development' bodies , including LEADER companies and County/ City Enterprise Boards. In some areas, these bodies were initially perceived as rivals to the local authority, although a more collaborative approach developed between local authorities and local development groups from the late 1990s onwards. County/City Enterprise Boards were abolished in 2014 and replaced by Local Enterprise Offices (LEOs). Greater alignment of local development and local government through the work of the Local Community and Development Committees (LCDCs) was provided for under the Local Government (Reform) Act 2014.

Secondly, the EU pushed for the creation of a formal regional tier of government in Ireland to provide for review and management of EU Structural Funds on a regional basis. Thus the EU was partly behind the creation of the Regional Authorities in 1994 and then the Regional Assemblies in 1999. These regional structures were replaced by three Regional Assemblies in 2014 – this restructuring process is dealt with in the Lesson on local government reform).

1.2 RATIONALE FOR LOCAL GOVERNMENT

Local government in Ireland is big business. The local government sector and the services it delivers play a crucial role in the economic and social life of the State. Total gross budgeted expenditure in 2023 was estimated to be in the region of just under €12 billion. Budgeted revenue expenditure represented €6.6 billion of this amount.

Every community and all people within those communities benefit significantly from the services provided, directly or indirectly, through local government. Local government operates through direct service delivery and through interaction with other agencies and community groups. It does not, however, exist simply as a provider of services. It is also a mechanism for democracy at local level. The system incorporates directly elected representatives and an

appointed executive structure, each with their own distinct but complementary roles and functions, working together to deliver local government.

Local government is a:

- democratic forum for local governance
- key delivery agency for local services and for implementing government policy at local level
- regulatory and enforcement authority
- key driver of local development, strengthening communities and enhancing quality-of-life.

Each of these are briefly expanded on below.

1.2.1 Democratic Forum

One dictionary definition of democracy is "a form of government in which the supreme power is vested in the people collectively and is administered by them or by officers appointed by them". Borrowing from Abraham Lincoln, it has also been referred to as "government of the people, by the people, for the people".

The local government system is a prime example of democracy. Outside of the Oireachtas, local authorities are the only bodies in Ireland whose members are elected by direct vote of the electorate. They are also the only form of government in which everyone can participate irrespective of citizenship – everyone whose name is on the register of electors and who is qualified to vote can exercise their democratic rights at local elections.

Councillors are elected by local people to make local decisions, to articulate local views and to identify and meet local requirements. They adopt policies that reflect the needs and legitimate expectations of the people who elect them. A key element of local government is that elected members and staff act in the interests of the people being served, seeking to meet their needs and give them the best possible quality of life.

1.2.2 Delivering Local Services and Implementing Government Policy

Local authorities are responsible for the provision of important local services. During the course of your studies you will learn of the many and varied services which are provided by local authorities. These services are delivered through eight service divisions (previously known as 'programme groups') (see Appendix 2).

1. Housing and Building.
2. Road Transportation and Safety.
3. Water Services (through service level agreements with Irish Water).
4. Development Incentives and Control.
5. Environmental Protection.
6. Recreation and Amenity.

7. Agriculture, Education, Health & Welfare.
8. Miscellaneous.

Local government is therefore a key delivery agency for much of Government policy at local level. Service provision, however important, is not in itself a compelling reason for the existence of local government. These services could be carried out by a central government department or by a specialised body or agency. The essence of local democracy is to enable local people to decide on their priorities, their level of taxation and their level of services. In this way local expectations and a diversity of service requirements can be addressed, and participation by citizens in decision-making relating to events which impact on their lives can be facilitated.

The European Charter of Local Self-Government was agreed by the Council of Europe in 1985 and was signed by Ireland in 1998. In Article 3, it is stated that: "local self-government denotes the right and the ability of local authorities, within the limits of the law, to regulate and manage a substantial share of public offices under their own responsibility and in the interests of the local population". Through their elected members local people can, within the limits of the law and the limitations of the system, have a say in local policies and service provision.

Local government accords with the principle of subsidiarity, i.e. the provision of services at the lowest possible level, consistent with efficient and effective delivery. You will see, however, that the Irish local government system does not have responsibility for many of the services and functions which are provided by most other local government systems in Europe and elsewhere thus limiting local democracy and the application of the principle of subsidiarity.

The introduction of the municipal district structures in 2014 was a step towards subsidiarity in that the municipal district is, in effect, the first level of governance and democratic representation in the state. The establishment of the municipal districts is dealt with in the notes on local government reform.

1.2.3 Regulation and Enforcement

As previously noted, democracy has been defined as "government of the people, by the people, for the people". If local government is to operate "for the people", decisions must be made in the interests of the common good. A 'free for all' government with unlimited rights for all would not function in the interests of the common good. Therefore, rules and laws must exist to regulate rights and responsibilities and processes must be in place to deal with those who breach the rules and regulations. Government, including local government, must be empowered to regulate through enforcement to ensure a level playing field for law-abiding citizens, organisations and businesses. Regulation is required to create or to limit a right, to create or limit a duty or to allocate a responsibility.

Local government regulates at local level and, when necessary, uses enforcement measures to ensure compliance. During the course of your studies, you will learn of the many and varied enforcement measures which are available to local authorities to ensure compliance with national and local laws and regulations.

1.2.4 Driving Local Development, Strengthening Communities, and Enhancing Quality of Life

The range of services delivered by local government and through association arrangements determine quality of life; what local authorities do impacts on people's everyday lives. Local government plays a key role in community development and works with other agencies to drive development in the economic, social, environmental, cultural and tourism sectors.

In the provision of services local authorities play a key role in community development, with their services interacting with each other and with their services provided by other agencies to support development in the following sectors:

- Economic – including roads, water, industrial sites, urban renewal, waste management, Local Enterprise Offices.
- Social – including delivery of housing, community activities, social inclusion initiatives, playgrounds.
- Environmental – including activities such as pollution prevention, waste management, water services.
- Tourism Development, Amenities, Heritage, Arts and Culture – including open spaces, amenities, libraries, heritage, museums, arts activities, tourism attractions and facilities.
- Public Safety – through the delivery of services such as fire service, road safety, Civil Defence, building regulation, development control and other regulatory codes.

Local authorities are development agencies and have wide powers to initiate and assist initiatives which promote the interests of their area and to drive local economic and community development. These roles will be explored in future lessons.

1.3 PRINCIPAL ELEMENTS OF THE LOCAL GOVERNMENT SYSTEM

1.3.1 Overview

The elected council is the policy making branch of the local authority, which acts through the exercising of what are referred to as 'reserved functions'. Reserved functions are identified as such under the law and specified across a range of legislation applying to local government and different service areas. Reserved functions generally entail decisions on important matters of policy and finance (for example adoption of local authority's annual budget, the local development plan, bye-laws). The day to day management of the local authority, including staffing matters, is vested in the full time Chief Executive.

The Chief Executive and/or staff to whom functions have been delegated exercise what are known as 'executive functions'. These involve the daily running of the authority within the policy framework as determined by the Council. Any function of a local authority that is not specified in legislation as a reserved function is deemed to be an executive function. The legal character of a local authority therefore comprises two core elements, namely: (i) the elected council of the authority and (ii) the Chief Executive with responsibility for performing local authority functions

shared between them. Legally, however, all functions, whether performed by the elected council or by the Chief Executive, are exercised on behalf of the local authority.

While the law makes a precise division of functions so that responsibility for their exercise may be clearly defined, in practice the policy and executive roles are intended to be complementary.

Local authorities conduct much of their business at meetings of the full council. Meetings of the council are presided over by the Cathaoirleach/Mayor. In many areas of local government activity, more in-depth discussion can take place at committee level rather than at meetings of the full council.

Each county and city council has a number of policy focused committees, known as Strategic Policy Committees (SPCs). These usually reflect the various local authority service areas such as Housing, Environment, Planning and so on.

The chairpersons of each SPCs, representatives from Municipal Districts, as well as the Cathaoirleach of the county/city council together make up the Corporate Policy Group (CPG). The county/city Chief Executive also participates and supports the work of the CPG. The role of the CPG is to link and co-ordinate the work of the different SPCs, and to provide a forum where policy positions and proposals affecting the entire council can be discussed and agreed for submission to the full council – for example the CPG is involved in the preparation of the local authority's corporate plan and the annual local authority budget.

1.3.2 Management and Organisation Structures

The role of Chief Executive is examined in Lesson 5, as is interaction of the Chief Executive with the political system through the elected representatives. What can be said here is that, in common with the position of Chief Executive in any large organisation, the local authority Chief Executive is responsible for the day-to-day running of the organisation. Given that local authorities are multifunctional organisations operating from diverse geographical locations, employing possibly thousands of staff, and with annual expenditure running in hundreds of millions of Euro, the chief executive must exercise very considerable management and organisational skills and must foster teamwork within the organisation.

The high-level team that supports the Chief Executive is commonly referred to as the management team. The management team is chaired by the Chief Executive and usually comprises the directors of services, the head of finance and other senior members of management who are determined by the Chief Executive as being essential for the effective operation of the management team and the organisation. Some local authorities have also established a senior team that operates at the level *below* that of management team and which creates a useful link between the management team and the levels of functional and operational management.

Each Chief Executive is responsible for determining the management/organisational structure that is most effective and efficient in the local circumstances. The structure can be determined having regard to factors such as size of the local authority area, staffing and geographical

factors, and the priorities and objectives of the individual local authority. Consequently, organisational structures and management practices/processes vary from authority to authority.

The above-mentioned factors also determine the numbers and the roles and responsibilities of directors of service. The roles and responsibilities of directors of service and heads of finance are determined by each Chief Executive. In determining the number of directors of service, the Chief Executive must also have regard to central government policies and rules on public service employment and any restrictions on staffing levels placed by national government on the local government sector and individual local authorities.

1.3.3 Governance

Corporate governance has been defined as the system by which organisations are directed and controlled. Governance refers to the set of systems, principles and processes by which an organisation is governed. As already noted, local government in Ireland is big business. Local authorities are often the largest employer in their area. They operate in a complex environment, one that is both political and executive. They are multifunctional and interact with a wide range of stakeholders. Therefore, it is essential that a set of systems, principles and processes exist within which local government can operate.

Good governance within local authorities encourages:

- Better informed decision-making.
- Accountability for the stewardship and control of resources.
- The efficient use of these resources to deliver quality public services and better outcomes for people.

Local authorities, members, management and staff, should act in the public interest at all times. This entails respect for the rule of law, ethical behaviour and adherence to the principles of public life (selflessness, integrity, objectivity, accountability, openness, honesty and leadership).

1.3.4 Core Principles of Local Government

In 2015 a guide (*Governance Principles & Governance Framework for the Local Government Sector*) which identifies the governance principles that should underpin the work of local authorities. The guide sets out six governance principles each with two supporting principles as set out below.

"Core Principle 1
Good governance means focusing on the purpose of the authority, on outcomes that deliver sustainable economic and societal benefits and on implementing a vision for the local authority.

Supporting Principles

- Exercising strategic leadership by developing and clearly communicating the authority's purpose and vision through the corporate plan and ensuring that service users receive a high quality service.
- Ensuring that the authority, through its service delivery plan priorities, makes best use of resources to ensure achievement of outcomes is optimised.

Core Principle 2
Good governance means members and officials working together to achieve a common purpose within a framework of clearly defined functions and roles.

Supporting Principles

- Exercising effective leadership throughout the authority, being clear about reserved and executive functions and the respective roles and responsibilities of members and officials.
- Creating a constructive and respectful working relationship between members and officials and ensuring that the functions of the authority are performed to a high standard.

Core Principle 3
Good governance means promoting and demonstrating public service values through upholding high standards of conduct and behaviour.

Supporting Principles

- Ensuring members and officials, in exercising leadership, behave in ways that exemplify high standards of conduct, ethical behaviour and effective governance.
- Fostering a culture and ensuring mechanisms that encourage and enforce adherence to ethical values and organisational values as espoused in the corporate plan.

Core Principle 4
Good governance means taking well informed and transparent decisions and managing risks and performance.

Supporting Principles

- Being rigorous and transparent about the decision making process and having good quality information, advice and support available to decision makers.
- Ensuring that effective risk, financial and performance management systems are in place which address uncertainties and exposures, enforce financial discipline, and emphasise strategic resource allocation and the efficient and effective delivery of services.

Core Principle 5
Good governance means developing the organisational capacity and the leadership capability and competencies of members and officials to operate effectively and fulfil the purpose of the organisation.

Supporting Principles

- Ensuring that members and officials have the supports and appropriate structures they need to perform effectively in their roles.
- Developing the capability of those with governance and leadership responsibilities to ensure outcomes achieved are consistent with good governance obligations.

Core Principle 6
Good governance means engaging openly and comprehensively with local people, citizens and other stakeholders to ensure robust public accountability.

Supporting Principles

- Providing clarity in relation to accountability relationships and organisational assurance, audit and scrutiny functions.
- Ensuring there is a process and mechanisms that deliver clear communication, effective stewardship and accountability to stakeholders."

1.3.5 Accountability

In accordance with the principles of corporate governance, local authorities are accountable for their actions and decisions and are subject to scrutiny in a number of ways:

- The Local Government Reform Act 2014 made provision for the establishment of the National Oversight and Audit Commission (NOAC) to scrutinise the performance of local

government bodies. The NOAC will be further explained in the Lesson relating to government reform.

- The Freedom of Information Acts (FOI), 1997 and 2003 are designed to allow public access to information which is not routinely available through other sources. Access to information under the Act is subject to certain exemptions (e.g. information submitted in confidence, personal information, and commercially sensitive information) and involves specific procedures and time limits. The Act provides a legal right for each person to access information held by public bodies; a legal right for each person to have official information relating to him/herself amended where it is incomplete, incorrect or misleading; and a legal right to obtain reasons for decisions affecting oneself.

- Decisions on applications under the Freedom of Information Act may be subject in the first instance to internal review and may then be appealed to the Information Commissioner.

- The Access to Information on the Environment Regulations, 2007 place a general responsibility on public authorities to facilitate access to environmental information that people may wish to receive.

- Data protection legislation imposes obligations to process personal data and to safeguard it against unauthorised access, alteration or disclosure. A register is maintained by the Data Protection Commissioner showing details of the purpose and type of personal data held. Individuals are entitled to establish the general existence of computerised personal data and the existence of personal data in relation to the individual concerned.

- Persons applying to authorities for certain permissions/licences are required to give public notice of their application (e.g. planning permission, application for licence to discharge to waters). This gives citizens' rights to view records held by local authorities relating to such applications and to make submissions and observations relating to same.

- Local authorities are obliged to publish public notice of certain functions – intention to carry out development within their own area, compulsory purchase orders, motorway schemes, etc.

- Local authorities notify applicants of decisions on applications and their rights of appeal/review in areas such as planning.

- Audit Committees scrutinise the finances of each individual City & County Council.

- The accounts of local authorities are subject to external audit by Local Government Auditors appointed by the Department of Housing.

- Certain central controls continue to be exercised by the Department of Housing – consent to overdraft accommodation, borrowing of money, power to impose cap on % increase in commercial rates, approval of staff complements, etc.

- In areas such as national roads, planning and the environment, local authorities are answerable to national bodies such as Transport Infrastructure Ireland (TII), the National Transport Authority (NTA), the Office of the Planning Regulator (OPR) and the Environmental Protection Agency (EPA).

- Documents such as the City/County Development Plan, the Annual Budget, the Annual Financial Statement, FOI Manuals, etc. are available to the public.

- Individual Acts set out the rights of the public in relation to rights of inspection, rights of appeal, etc.

- Complaints may be made to the Ombudsman in relation to the activities of the local authority.

- Certain decisions may be appealed through the courts and application may be made for judicial review.

- Many of the functions of local authorities are subject to scrutiny by the European Commission or the EU Court of Auditors.

- The media attend council meetings and many committee meetings such as SPCs, Municipal Districts, etc.

- The public can attend council meetings.

- Elected members are accountable to the electorate at election time!

1.3.6 Stakeholders

A stakeholder can be defined as any person, group, organisation, member or system who effects or can be affected by an organisation's actions. Local government does not operate in isolation. It works in conjunction with communities, other agencies, government departments, voluntary associations and the social partners. Therefore, local authorities have a wide range of stakeholders, and partnership is a key feature of the environment in which local government operates.

The main stakeholders include:

- Communities
- Government Departments
- Environmental Protection Agency (EPA)
- Housing Agency

- Transport Infrastructure Ireland (TII)
- National Transport Authority (NTA)
- Road Safety Authority (RSA)
- Irish Water / Uisce Éireann
- Health Services Executive (HSE)
- European Union (Finance and Regulation)
- Regional Assemblies
- Local Government Management Agency (LGMA)
- County and City Managers Association (CCMA)
- Association of Irish Local Government (AILG)
- Voluntary Housing Associations / Approved Housing Bodies
- Development Associations, Tidy Town Committees, etc.
- Other local authorities
- Leader companies
- IDA, Enterprise Ireland, etc.
- Other public utilities – ESB, Eircom, etc.
- Strategic Policy Committees
- Joint Policing Committees
- Staff
- Community groups, non-governmental associations (NGOs)
- Business and industry
- Trade Unions

1.4 THE DEVELOPMENT OF THE IRISH LOCAL GOVERNMENT SYSTEM

1.4.1 Introduction

It is almost impossible to establish a precise date for the commencement of a system of local government, particularly in this country. The Irish system evolved partly in response to the needs and advances of the times and partly as a consequence of the system imposed by the British government. In recent years, the local government system has been the subject of significant change and the scale/pace of change has been determined by a number of factors including:

- National and international policy.
- The internal/ external operating environment and economy.
- Current organisational and management practices.
- Responses to changing circumstances and ministerial/departmental vision for the local government system.

1.4.2 Landmarks in Irish Local Government History

From a structural, functional and financial perspective there have been a number of major landmarks in the development of the Irish local government system, the most important are set out below:

(i) Local Government (Ireland) Act, 1898

This Act established County Councils, setting out their structure and constitutions and consolidated some of the city or urban structures that had evolved during the 19th century. While various forms of local government operated previously under British rule, the 1898 Act remained a landmark in Irish local government development together with the Application of Enactments Order, 1898. Under the provisions of the Local Government Act, 2001, this Act was substantially repealed.

(ii) The 1920s and1930s

This period, in the aftermath of independence and the Civil War, was a difficult one. Many accusations of corruption and nepotism in the appointment of staff were levelled at local authorities, and several were abolished and replaced by Commissioners. In 1926, the Local Appointments Commission was established to recommend appointments to senior posts.

(iii) County Management Act, 1940

The management system was introduced generally under the County Management Act, 1940 which became operative on 26 August, 1942. It was influenced by the American system in an effort to streamline the administration of local government. The responsibility for the appointment and control of staff was transferred from the councillors to the county manager or city manager (now known as chief executive). Separate Acts in 1929, 1930, 1934 and 1939 provided for City Management in Cork, Dublin, Limerick and Waterford cities respectively.

(iv) City and County Management (Amendment) Act, 1955

In the aftermath of the 1940 Act, many councillors considered that their powers had been almost completely eroded and that the manager had almost total control. The 1955 Act was an attempt to address this by giving the Council members additional powers including the right to direct the manager as to how he was to perform his executive functions. The Local Government Reform Act 2014 introduced significant reform of the management system. This will be dealt with in lessons relating to reform and management.

(v) Health Act, 1970

Prior to 1970, health was a major function performed by local authorities, but this was transferred to Regional Health Boards under the Health Act, 1970. Eight regional health boards were established under the Health Act, 1970 to manage the health services in their respective regions. On 1st January 2005 the Health Services Executive (HSE) was established to take over the management of the Irish Health Services. The functions of the health boards/agencies were transferred to the HSE.

The local authorities and the HSE work closely together in many areas, including social housing, homelessness, Travellers, emergency planning and related matters. In addition, areas of common interest such as environmental pollution, statutory nuisances and public health matters require close co-operation and collaboration.

(vi) Powers to raise Local Taxes/Charges

Rates were abolished on domestic dwellings under the Local Government (Financial Provisions) Act, 1978 and a decision of the Supreme Court in 1982, declared that the use of the valuation system in relation to agricultural land was unconstitutional. These decisions resulted in the loss of independent sources of income and a reduction in discretion. An annual self-assessed Local Property Tax (LPT) charged on the market value of all residential properties in the State came into effect in 2013/2014 and is collected by the Revenue Commissioners. The impact of these charges on the local government system will be considered in future lessons.

(vii) Local Government Act, 1991

Section 6 of this Act gives local authorities a general competence to engage in any socio-economic activity to the benefit of its functional area provided that it does not conflict with national policy. This effectively eliminates the concept of *ultra vires*, which meant that local authorities could only do what they were specifically authorised to do by legislation. Parts of this Act have been repealed/amended under the Local Government Act, 2001 and the Local Government Reform Act 2014.

(viii) Establishment of the Environmental Protection Agency (EPA) and Transport Infrastructure Ireland (TII)

The establishment of the Environmental Protection Agency under the 1992 Act and the National Roads Authority (now known as Transport Infrastructure Ireland) under the Roads Act, 1993 represented important changes in the allocation of powers to specialised central agencies.

(ix) "Better Local Government – A Programme for Change"

This report was launched in 1996. It signalled a central government commitment to a comprehensive renewal of the local government system. It contained four core principles:

- enhancing local democracy and widening participation
- serving the customer better
- developing efficiency in local government
- providing proper resources to allow local government to fulfil its role.

This report established the basis for significant reform including greater integration of local government and local development, establishing management teams and directors of services in local authorities, and the establishment of Strategic Policy Committees.

(x) Integration of Local Government/Local Development

The report of the Inter-Departmental Task Force on the integration of the Local Government and Local Development Systems led to the appointment of Directors of Community and Enterprise. The emergence of Community and Enterprise Sections expanded the role of local government in the promotion of social inclusion measures and in community and enterprise development. This in turn required local authorities to be more "outward looking" than "inward focused" and generated the potential for considerable interagency activity at local level.

(xi) Strategic Policy Committees (SPCs)

The establishment of Strategic Policy Committees allows for more focused participation in strategic planning and policy formulation and provides a forum for working with the sectoral interests.

(xii) Local Government Act, 2001

The objectives of this Act, which was significantly amended by the Local Government Reform Act 2014, were to:

- enhance the role of the elected member
- support community involvement with local authorities in a more participative local democracy
- modernise local government legislation and provide the framework for new financial management systems and other procedures to promote efficiency and effectiveness
- underpin generally the programme of local government renewal.

(xiii) Transfer of powers from elected members

Under the Waste Management (Amendment) Act, 2001 and the Protection of the Environment Act, 2003 the power to adopt the Waste Management Plan was transferred from the members to the Chief Executive (then known as city manager or county manager). The Chief Executive was also given powers to adopt the City/County Development Plan and the Traveller Accommodation Plan if the members fail to do so.

(xiv) European Charter of Local Self-Government

In 2002 Ireland ratified the European Charter of Local Self-Government which gives a commitment to applying basic rules guaranteeing the political, administrative and financial independence of local authorities.

(xv) Transfer of functions

A number of functions which were the responsibility of local authorities have been transferred to other bodies. Those functions include the following:

- The Higher Education Grants Scheme, which was administered by local authorities, was replaced by the new Student Grant Scheme, announced in 2011, which is now administered by Student Universal Support Ireland (SUSI).

- The Road Safety Authority has responsibility for driver licensing since 2013 and has established a National Driver Licence Service (NDLS).
- In accordance with the Water Services Act 2013, Uisce Éireann has been established to bring the water and wastewater services of the 34 local authorities together under one national service provider, with water services fully transferring to Uisce Éireann in 2026.
- Responsibility for the maintenance and operation of the motorway and dual carriageway system largely transferred to Transport Infrastructure Ireland (TII).

(xvi) Local Government Efficiency Review, 2010

In Budget 2010, the Minister for Finance announced the establishment of a Local Government Efficiency Review Group to examine the efficiency of the local government sector. The Group's terms of reference were to review the cost base, expenditure of and numbers employed in local authorities with a view to reporting on:

- Specific recommendations to reduce costs.
- The effectiveness of particular programmes.
- Optimal efficiency in the way programmes are delivered.
- Any other proposals to enhance value for money.

The group reported in July, 2010 with a number of recommendations, which it stated could yield €511 million in a full year, the equivalent of 11% of the sector's current budget for 2010. The €511 million included €346 million in efficiency savings and €165 million accounted for through greater cost recovery and revenue raising.

General recommendations included:

- A reduction in the number of county/city managers from 34 to 24, and reductions in other senior staff numbers
- A regional approach to shared services.
- The establishment of an 'innovation fund' to incentivise innovation and efficiencies in the operation and delivery of local government services.

(xvii) "Putting People First", 2012

This reform programme provided for a number of structural changes in local government, including the abolition of town councils, the establishment of municipal districts, the merger of local authorities in Limerick, Waterford and Tipperary, and the reform of the regional assembly structures. This involved an overall reduction in the number of elected local Councillors. "Putting People First" also proposed introducing a Local Property Tax, provided for an enhanced role for local government in providing enterprise supports and in the areas of both economic development and local development, and new arrangements for greater oversight of and enhanced public participation in local government. Many of this initiative's reform proposals were legislated for under the Local Government Reform Act 2014. This reform initiative is dealt with in more detail in the Lesson on Local Government Reform.

1.4.3 Weaknesses in the Irish Local Government System

The Irish local government system has evolved into the operational and political structure which currently exists in response to the particular circumstances which existed during that evolution. There remain a number of perceived weaknesses in the local government system, some of which are being addressed and some which may be the subject of further change in the future. These weaknesses include the following.

(i) Functions

The range of functions carried out by local authorities in Ireland is quite limited – in many other EU countries local authorities are responsible for functions such as health, social welfare, tourism, policing, transport, education and even electricity. This in itself limits the scope and importance of local authorities in Ireland. All of the functions carried out by Irish local authorities (housing, roads, etc.) in the eight programme groups account for only between 11 and 15 per cent of a typical Danish local authority's expenditure. An important outcome of this is the limited perceived relevance of the local government system by citizens in general, despite the fact that everyone benefits, to a greater or lesser extent, from the services provided.

(ii) Finance

There are two main problems associated with the financing of local authorities. Firstly, the amount of finance available is not seen as adequate to meet escalating costs. Secondly, the source of the finance has historically presented a problem because a large percentage was derived from specific government grants and subsidies (e.g. road grants) with preconditions and caveats attached. This was perceived as lessening local discretion (sometimes exemplified through the expression: "he who pays the piper calls the tune."). There has traditionally been limited scope within the system for raising revenue at local level. Areas where discretion did operate had been curtailed for many years – as with the removal of rates from domestic and agricultural holdings.

However, a substantial proportion of the revenue raised at local level comes from the commercial sector. A cyclical downturn in the economy impacts on the level of development taking place and this, in turn, impacts on the ability of local authorities to raise revenue at local level. Cutbacks in public expenditure generally also impact on local authorities. The availability of public and local finance impacts on the ability of local authorities to deliver infrastructural projects while the lack of that infrastructure impacts on development. The introduction of the Local Property Tax could be seen as enhancing the capacity of local authorities to raise revenue at local level, and some have claimed that this will provide greater discretion in local decision making and increased accountability at local level. The issues relating to Local Property Tax are examined in the Finance Lesson.

(iii) Structure of Local Government

For some, the introduction of the municipal district model in 2014 provides a stronger, more coherent and more uniform framework for maintaining local focus and citizen engagement, while delivering the efficiencies sought by government. While the

abolition of town councils and, to a lesser extent, the mergers in Limerick, Tipperary and Waterford, gave rise to mixed views in the context of representational democracy, it could be argued that these structural changes were designed to address recognised weaknesses and anomalies in the context of service and administrative duplication, boundary issues, diverse charging regimes and negative sentiment towards some aspects of local government.

On the other hand, it may be argued that the abolition of town councils resulted in a situation where local government is more remote from the people. As a consequence, the participative element is more difficult to encourage and the democratic effect is lessened. However, it is important to maintain an effective balance between participatory arrangements and the efficiency of service delivery. There are varying views as to where the proper balance lies.

(iv) Powers of Elected Members

It is often said that the introduction of the management system in Irish local government was a move towards efficiency made at the expense of democracy. If the councillors, acting collectively, are not the true policy decision-makers, then what results is local administration rather than local government, because the will of the people may not be properly reflected in local activities/policy outcomes. Accordingly, the potential exists for a democratic deficit. *Better Local Government- a Programme for Change* aimed to facilitate and focus the role of the councillor in policy-making through the establishment of Strategic Policy Committees.

It is important to understand that the legal position always has been that the Council members, acting collectively at duly constituted meetings, are responsible for policy decisions. The primacy of the elected Council, within the local government system, was reinforced by various measures to enhance the role of the members in the Local Government Reform Act 2014 and in *Putting People First*. The duty of the Chief Executive to comply with policy, as determined by the elected members, and the capacity of the council to oversee broadly the business of the authority were strengthened. The balance of powers and functions between the chief executive and the elected members is an enduring debate in the reform of local government and will be dealt with in future lessons.

1.5 CONCLUSION

Following this lesson and associated reading, you should have an overview of the Irish local government system, understand how the system relates to wider government, appreciate at a high level what local government does and how it operates, and be aware that the current system has evolved over time. Subsequent lessons in your studies will expand on this knowledge and will lead you to a deeper understanding of the Irish local government system.

APPENDIX 1

In order to understand the development of local authorities, the framework within which they operate and their place within the framework of the governance of Ireland, it is important to have an appreciation of the various terms relating to legislation that are used throughout the lessons of this course. The following is a brief explanation of some of the terms used:

i) Law:
The *written* and *unwritten* body of rules binding on persons and enforced by appropriate sanctions.

ii) Legislation: (written law).
The body of enactments or statutes passed by the legislature. There are two types:

- *Superior legislation* enacted directly by the legislature (Oireachtas);
- *Subordinate legislation*: rules or law laid down by some person or body under authority delegated by the legislature, e.g. bye-laws passed by local authorities, statutory instruments signed by Ministers.

iii) Legislature (Oireachtas):
Consists of the Dáil, Seanad and Uachtarán na hÉireann.

iv) Act:
Legislation that has been passed by the Oireachtas. Usually, this requires a vote in both houses (Dáil and Seanad), the signature of the President. An Act does not come into force until a Commencement Order is made specifying the date from which it will apply. Commencement Orders may apply to sections only or may apply to the entire Act.

v) Bill:
This describes proposed legislation *before* it is enacted (i.e. becomes an Act), as it goes through the Oireachtas.

vi) Statutory Instrument:
Is an Order, Rule, Regulation, Scheme or Bye-law made under powers conferred in some statute by a designated Minister.

vii) Regulations:
An Act may empower the relevant Minister to make Regulations in relation to certain provisions of the Act. These Regulations may specify procedures to be followed, set fees to be charged, provide for appeal processes, etc.

viii) Circulars:
Various Circulars are issued from time to time by the Department. These may require the submission of information (returns), clarify provisions of legislation, set out detailed procedures, advise authorities of changes in legislation/EU Regulations, notify grant allocations, etc.

ix) Bye-Law:
(See 2 (b) subordinate legislation). Local authorities are empowered to make bye-laws under a number of statutes e.g. Speed Limits, Parking, Casual Trading, etc.

x) Referendum:
Process by which citizens (only Presidential electors i.e. Irish citizens) decide on matters, notably proposed amendments to the Constitution.

xi) Court:
Justice is administered in courts by judges appointed under the 1937 Constitution. The *Superior* Courts are the High Court and Supreme Court. The inferior courts are the District and Circuit Courts.

xii) (a) Resolution of Council:
Means by which reserved functions are exercised by the members only.

(b) Chief Executive Order:
Means by which executive functions are exercised by the chief executive only.

xiii) "Ultra Vires":
(Beyond the powers). An action in excess of the authority conferred by law and therefore invalid. Local authorities were ruled by the doctrine of Ultra Vires which meant they had to be able to adduce specific legal authority for all their functions and acts. This was relaxed under the Local Government Act 1991 which provided for a "general competence".

xiv) Green Paper
A tentative report of Government proposals without commitment – it is mainly a discussion document.

xv) White Paper
A report issued by Government to give information.

APPENDIX 2: FUNCTIONS OF LOCAL AUTHORITIES

SERVICE DIVISIONS

The Council's activities are subdivided into eight Service Divisions (previously known as 'Programme Groups'), namely: Housing and Building; Road Transportation and Safety; Water Supply and Sewerage; Development Incentives and Controls; Environmental Protection; Recreation and Amenity; Agriculture, Education, Health and Welfare; and Miscellaneous Services.

1. **Housing and Building**
   Management and provision of local authority housing; assistance to persons housing themselves or improving their houses; settlement of travellers, homeless etc.

2. **Road Transportation and Safety**
   Road upkeep and improvement; public lighting; traffic management facilities; road safety; collection of motor taxation; licensing of drivers, etc.

3. **Water Services**
   Public water supply and sewerage schemes; assistance for private water and sewerage facilities; public conveniences, etc.

4. **Development Incentives and Controls**
   Physical planning policy, control of new development and building, promotion of industrial and other development, etc.

5. **Environmental Protection**
   Waste collection and disposal; litter control, burial grounds; safety of structures and places; fire protection; pollution control, etc.

6. **Recreation and Amenity**
   Swimming pools; libraries, parks; open spaces; recreation centres; conservation and improvement of amenities, arts activities, etc.

7. **Agriculture, Education, Health and Welfare**
   Contributions to Vocational Education Committee, Higher Education Grants, Joint Drainage Committees, etc.

8. **Miscellaneous Services**
   Financial management and rate collection; elections; courthouses; coroners and inquests, consumer protection measures; malicious injuries, etc.